MEMORANDUM

To: Chief Executive Officer • Board Risk & Audit Committee

From: AI Governance Office, NovaAI Labs

Date: April 2026

Reference: NVA-GOV-2026-003

Subject: **NovaHire — Governance Review and Urgent Deployment Decision**

Classification: **CONFIDENTIAL — Board Only**

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1. PURPOSE

This memorandum presents the findings of a comprehensive governance review of NovaHire (NVA-AI-003), our internally-developed natural language processing system for recruitment and CV screening. The review was prompted by confirmed bias findings in a February 2026 audit and a reassessment of our regulatory obligations under the EU AI Act.

The Board is asked to: (a) review and note the governance findings; (b) approve recommended remediation actions; and (c) determine the operational status of NovaHire during the remediation period.

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2. EXECUTIVE SUMMARY

NovaHire is currently in production deployment across our internal recruitment function and 47 enterprise customer deployments, having processed 180,000+ candidates since October 2023. A February 2026 bias audit confirmed measurable discriminatory outcomes: 18% reduced shortlisting rate for women in technical roles, and 22% reduced shortlisting rate for candidates over 45 for senior positions.

Material regulatory non-compliance has been identified under the EU AI Act (Articles 10, 13, 14, 43): no conformity assessment has been conducted; customers have not received deployer documentation; and autonomous rejection mechanisms lack documented human oversight across customer deployments.

The AI Governance Office recommends: (i) immediate suspension of automated shortlisting for both internal and customer deployments (72-hour implementation); (ii) commencement of 90-day remediation programme; (iii) immediate customer notification; (iv) external employment counsel engagement.

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3. FINDINGS IN DETAIL

3.1 Classification and Regulatory Exposure

NovaHire has been classified as a high-risk AI system under EU AI Act Annex III, Category 4(a) (employment and recruitment decisions). This classification brings several critical obligations into force:

- Conformity assessment and documentation (Article 43)
- Risk assessment and bias monitoring (Articles 6, 14, 16)
- Deployment transparency and human oversight protocols (Article 14)
- Instructions for use and deployer documentation (Article 13)

NovaAI Labs holds both provider and deployer status under the regulation. Our 47 enterprise customers inherit deployer obligations but lack awareness or supporting documentation to discharge them.

The EU AI Act's high-risk regime came into force in January 2026. We are in material non-compliance.

3.2 The Confirmed Bias Problem — 18% and 22%

In February 2026, we commissioned an independent bias audit across our complete historical dataset of 180,000 candidates screened by NovaHire since October 2023. The findings are unambiguous:

- Female candidates for technical roles were shortlisted at 18% lower rate than statistically equivalent male candidates
- Candidates over age 45 for senior positions were shortlisted at 22% lower rate than statistically equivalent younger candidates

These are not estimates or concerns — these are measured outcomes across our full operational history. These outcomes mirror the pattern of age-based discrimination documented in the Workday class action (2024-2026), where algorithmic screening resulted in systemic age bias in hiring.

We cannot defend these outcomes. We can only acknowledge them and remedy them.

3.3 The Enterprise Customer Exposure Problem

NovaHire is licensed to 47 enterprise customers, each of whom deploys the system in their own recruitment workflows. Our governance review has identified critical gaps:

- No Article 13 instructions for use have been supplied to any customer
- No customer attestations have been obtained confirming Article 14 human oversight requirements
- No bias audit data has been shared with customers
- Current customer contracts do not include EU AI Act compliance clauses or liability allocation

If a customer is sued by a candidate for discriminatory screening, NovaAI Labs will very likely be joined as a co-defendant provider. Our liability exposure is direct and uninsured.

Additionally, if this bias audit becomes public, we anticipate rapid customer churn. Enterprise customers are acutely sensitive to AI governance and reputational risk.

3.4 The Autonomous Rejection Problem

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The EU AI Act requires documented human review of all significant employment decisions (Article 14). We have implemented human-in-the-loop review for our internal HR use of NovaHire as of January 2026. However, we have no visibility into how our enterprise customers configure the system.

Some customers may be using fully autonomous rejection workflows (automated decision-making without human intervention). We cannot currently confirm Article 14 compliance across our customer base. This creates a compliance and liability gap that extends beyond our direct control.

Technical enforcement (product controls) is required, not merely contractual obligations.

3.5 Residual Risk Position

Even with full remediation controls in place, the residual risk position of NovaHire is classified as MEDIUM-HIGH. The bias audit has confirmed that harm has already occurred. Candidates have been rejected at discriminatory rates. Rectification and notification obligations may crystallise under Article 84 of the EU AI Act.

The 90-day remediation window is time-critical. Beyond this period, regulatory reporting obligations will likely become binding.

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4. RECOMMENDED ACTIONS

IMMEDIATE (Within 72 Hours)

Action	Owner
Suspend automated shortlisting function	Chief AI Officer
Notify 47 enterprise customers	VP Enterprise Sales + Legal
Engage external employment law counsel	General Counsel
Brief Board Risk & Audit Committee	AI Governance Office
Preserve audit data and model versions	Chief AI Officer

WITHIN 30 DAYS

Action	Owner
Produce Article 13 instructions for use	Chief AI Officer + Legal

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Implement technical enforcement of human review	Head of Product
Commission independent external bias audit	AI Governance Office
Retrain NovaHire on debiased dataset	ML Research Team
Update candidate privacy notices	Legal + Data Protection Officer

WITHIN 90 DAYS

Action	Owner
Complete EU AI Act conformity assessment	AI Governance Office
Register in EU database (Article 71)	AI Governance Office
Execute amended customer contracts	Legal + Enterprise Sales
Retrospective review of rejected candidates	HR + Legal (past 12 months)
Board decision on product continuation	Board of Directors

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5. DECISION REQUESTED

The Board is presented with three options. The AI Governance Office recommends Option A.

Option A: Immediate Suspension + 90-Day Remediation (RECOMMENDED)

- Suspend automated shortlisting for all deployments (internal and customer-facing) within 72 hours
- Revert to full manual CV review during remediation period
- Execute all remediation actions on 90-day timeline
- Maintain Board-level governance oversight of remediation program

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Impact: Reduces regulatory and litigation risk. Demonstrates responsible governance. Operational disruption limited to 90-day period. Revenue impact: ~$4.5M in additional operating costs.

Option B: Enhanced Oversight During Remediation

- Retain NovaHire in production with mandatory human review of all shortlisting decisions
- Proceed with 90-day remediation on same timeline
- Assume human oversight controls are effective across 47 customer deployments

Risk: Cannot confirm human review effectiveness across customer base. Continued exposure to discriminatory outcomes, regulatory findings, and litigation during 90-day window. No technical safeguards. Reputational risk if bias audit becomes public while system remains active.

Option C: Full Product Withdrawal

- Sunset NovaHire entirely; discontinue all deployments
- Revert to manual screening indefinitely
- Issue contract termination notices to 47 enterprise customers
- Eliminate product line revenue entirely

Impact: Eliminates regulatory and litigation risk. Very significant revenue impact: ~$18M annual NovaHire licensing revenue lost. Disproportionate response if remediation succeeds.

The AI Governance Office recommends Option A. Option B carries unmanageable exposure. Option C is disproportionate if remediation programme succeeds.

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6. ESCALATION CLAUSE

If the 72-hour suspension of automated shortlisting is not implemented, the AI Governance Office will escalate this matter to the Chief Compliance Officer and will consider notification obligations to relevant Data Protection Authorities under Article 84 of the EU AI Act.

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7. FINANCIAL AND REPUTATIONAL CONSIDERATIONS

Category	Estimate
Remediation Cost	**$4.5M**
Annual Revenue at Risk (Customer Churn)	**~$18M**
Estimated Litigation Exposure	**$15–40M**

Reputational Risk:

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NovaAI Labs is positioned as a responsible AI leader in the industry. A public disclosure of confirmed discriminatory bias in NovaHire, combined with evidence of material non-compliance with the EU AI Act, would fundamentally contradict that positioning. Enterprise customers are acutely sensitive to AI governance credentials. Churn risk is substantial.

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8. ATTACHMENTS

- AI Risk Assessment — NovaHire (April 2026)
- Bias Audit Report — NovaHire (February 2026)
- Enterprise Customer List (CONFIDENTIAL)

Prepared by: AI Governance Office, NovaAI Labs

Contact: ai-governance@novaai.example

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Distribution: CEO, Board Risk & Audit Committee, General Counsel, Chief AI Officer

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